

moreover, a naive model forecasts just about as well as the professionals do. What is a naive model? One that uses a simple mechanical rule to make a forecast. For instance, one could use a model that predicates that the earnings of a company will change by the

Super Bowl as Crystal Ball

Some years ago, Robert Stovall, a well-known stock market adviser, found a correlation between the Super Bowl winner and the stock market. When the Super Bowl is played each January, the market will close the year higher if the game is won by an "original" NFC team, but decline if the game is won by a team from the now-vanished American Football League. The term "original" means that teams such as Baltimore and Pittsburgh, although now in the American Football Conference, *used* to be in the NFC, and so count as if they were NFC teams. In all of the Super Bowl games played through 1987, the rule had failed only twice, in 1970 and 1984.

The Super Bowl Indicator achieved considerable fame, and is still commented on in the press around game time. Stovall meant it all as a joke, but his spoof caught the public's eye because it's cute, and the number of people interested in the stock market is nowhere near the number who care about the Super Bowl.

The existence of a statistical correlation between two sets of data does not imply any causal link between the two, especially between two games as unrelated as football and stock investing. One must note, however, that